

INTEGRATING GREEN HRM AND PSYCHOLOGICAL CAPITAL FOR SUSTAINABLE ORGANIZATIONAL PERFORMANCE

Nandha Kumar T., MBA , Thiagarajar School Of Management, Madurai,
nanthakumart516@gmail.com , +919842553662.

ABSTRACT

This study examines the strategic integration of Green Human Resource Management (Green HRM) and Psychological Capital (PsyCap) in enhancing sustainable organizational performance. Drawing on Sustainable HRM and Positive Organizational Behavior perspectives, the study investigates how Green HRM practices influence sustainability outcomes both directly and indirectly through employee psychological resources. Using a quantitative research design, data were collected from 250 employees across diverse organizational contexts. Standardized measurement scales were employed, and the data were analyzed using reliability analysis, correlation analysis, mediation testing through IBM SPSS , JMP and PROCESS macro, and Structural Equation Modeling (SEM). The findings indicate that Green HRM practices significantly enhance Psychological Capital, which in turn strongly influences sustainable organizational performance. Psychological Capital was found to partially mediate the relationship between Green HRM and sustainability, highlighting its critical role as a psychological enabler of sustainability initiatives. The study contributes to sustainability and HRM literature by empirically demonstrating the psychological pathway through which sustainability-oriented HR practices translate into enduring organizational outcomes. The findings offer valuable insights for HR practitioners and policymakers in designing integrated strategies that foster both green practices and employee psychological capabilities.

Keywords: Green Human Resource Management; Psychological Capital; Sustainable Organizational Performance; Sustainability; Positive Organizational Behavior; Mediation Analysis; Structural Equation Modeling.

INTRODUCTION

In the recent years, sustainability have evolved and moved as a voluntary organizational initiative to a strategic need organizations around the world are expected to balance economic growth including environmental responsibility and social well-being. An organization's stakeholders such as customers, investors, employees and governments at present, demand their organizations to aim beyond short-term revenues and profit maximization and practice the responsible and sustainable business practices. As a result, sustainability have become a most concerned organizational strategy, performance evaluation and long term competitiveness. In the evolving context of Human Resource Management (HRM) has gained more attention as a crucial driver of organizational sustainability. Organization's lifeblood are employees, they play a decisive role in practicing sustainability strategies into day to day practices, making HR policies that are important in shaping environmentally responsible. This has paved the way for adopting and building Green Human Resource Management (ie., Green HRM) . that integrates sustainable objectives into traditional HR functions like recruitment, training, performance appraisal, rewards and compensation systems. With Green HRM, organisations aim to nurture their workforce that are aware of ecological concerns, committed to sustainable practices, and are capable of supporting green organizational goals. Even with the growing adoption of Green HRM practices, organizations usually experience mixed outcomes in terms of sustainability performance. While some firms successfully integrate environmental values into employee behaviour, others strive to achieve meaningful results. This lapse in consistency suggests that the presence of green policies alone may not be sufficient to ensure sustainable organizational outcomes. Employees must not abide with green practices but also incorporate and sustain them overtime, especially in environments characterized by change, pressure, and increasing performance demands.

This gap highlights the importance of analysing the human and psychological dimensions of sustainability-driven HR practices. One among the crucial psychological resource is Psychological capital (PsyCap), that comprise Hope, Self-Efficacy, Resilience and Optimism. PysCap reflects and individual's positive psychological state and capacity to cope with challenges, remain motivated, and pursue goals effectively. Employees with high Psychological Capital are better fitted to adapt to organizational change, overcome obstacle, and maintain engagement with sustainability initiatives, that require additional effort or behavioural change.

Addressing to this gap, the study aims to know the strategic integration of Green HRM and Psychological Capital to advance sustainable organizational outcomes. The study tries to bringout how Green HRM practices influence employee Psychological Capital and how PsyCap mediates the relationship between Green HRM and sustainable organizational performance, measured through a Triple Bottom Line perspective including environmental, social, and economic dimensions. By adopting a quantitative research design and employing HR analytics techniques such as Structural Equation Modeling, the study seeks to contribute both theoretically and practically to the growing discussion on sustainable HRM. The findings are expected to give valuable insights for HR professionals, organizational leaders, and policymakers in designing evidence-based strategies that build psychologically resilient and sustainability-oriented workforces.

BACKGROUND OF THE STUDY

Today, Organizations operate in an environment featured by increasing environmental challenges, social responsibility expectations, and competitive pressures for long-term financial feasibility. Sustainability has become a core interest than a incidental organizational activity. While organizations adopting sustainability initiatives at the policy level, their success largely depends on how effectively the employees understand, accept, and implement these initiatives in daily work practices. Human Resource Management (HRM) plays a central role in shaping employee behaviour, attitudes, and values, making it a critical driver of sustainable organizational outcomes.

In this context, Green Human Resource Management (Green HRM) has evolved as an important approach that integrates environmental objectives into HR policies and practices. However, research suggests that the Green HRM effectiveness varies across organizations, Structural HR practices may not be alone sufficient and scholars progressively highlight the need of psychological resources to utilized by employees to turn sustainability initiatives into meaningful and sustained performance outcomes. Psychological Capital (PsyCap), as a positive resource, offers a valuable lens to understand how employees embrace and sustain green practices, thereby supporting organizational sustainability.

PSYCHOLOGY IN ORGANIZATIONS

Psychology plays a primary role in understanding how individuals think, feel, and behave within organizational settings. Organizational psychology concentrates on employee motivation, attitudes, well-being, and performance, recognizing that human behavior

continuously influences organizational effectiveness. Psychological factors determine how employees respond to change, cope with work demands, and engage to achieve organizational goals.

In organizations that practice sustainability, employees are usually required to adopt new behaviors, adjust routines, and align personal values with environmental objectives. Such changes can create stress and resistance if psychological readiness is lapsing. Therefore, integrating psychological perspectives into HRM research is essential for explaining why some sustainability initiatives succeed while others fail. Psychological resources helps employees to remain motivated, adaptive, and committed to long-term organizational goals, particularly in challenging and uncertain environments.

SUSTAINABILITY

Sustainability in an organization refers to ability to achieve long-term economic success while at the same time also preserves environmental resources and promotes social well-being. The concept is basically understood through the **Triple Bottom Line (TBL)** framework, which supports environmental, social, and economic performance. Organizations are now evaluated based on their contribution to sustainable development, ethical conduct, and responsible resource utilization.

Despite widespread adoption of sustainability policies, many organizations face difficulty in conversion of sustainability goals into measurable outcomes and these challenges arises because sustainability requires continuous employee engagement, behavioral change, and long-term commitment than short-term compliance. Thus, researchers counter that sustainability should be embedded within organizational systems, culture, and people management practices to ensure consistent and enduring results.

GREEN HUMAN RESOURCE MANAGEMENT

Green Human Resource Management describes the integration of environmental objectives into traditional HRM practices such as recruitment, training, performance appraisal, and reward systems and develop a workforce that is environmentally conscious, skilled in sustainable practices, and motivated to support organizational green initiatives. HR policies aligned with sustainability goals, organizations attempt to institutionalize environmental responsibility across all levels.

Empirical studies says that Green HRM can positively influence employee green behavior and organizational sustainability performance. However, findings,suggest that the presence of green HR policies does not alone guarantee success and when employees actively engage with and adopt these practices for Green HRM meaningful outcomes are generated. This highlights the need to examine psychological mechanisms that enable Green HRM practices to translate into sustained organizational performance.

POSITIVE PSYCHOLOGICAL CAPITAL (PsyCap)

Psychological Capital is a positive psychological resource including 4 factors such as hope, self-efficacy, resilience, and optimism where it reflects an individual's ability to set goals, remain confident, recover from setbacks, and maintain a positive outlook toward future outcomes. Contrast to fixed personality traits, Psychological Capital is state-like and can be developed through organizational practices and supportive work environments.

Recent research expresses that employees with high PsyCap show better performance, higher engagement, lower burnout, and greater adaptability to change. In contexts of sustainability, PsyCap makes employees to cope up with the additional demands related with green initiatives and to remain committed to long-term environmental and social goals. Thus, Psychological Capital serves as a critical link between organizational practices and sustainable outcomes.

PROBLEM STATEMENT

In recent years, Green Human Resource Management (Green HRM) has gained a markable attention as a strategic approach that supports organizational sustainability. This Green HRM's effectiveness in delivering consistent and long-term sustainability outcomes varies across organizations. Past studies showed that Green HRM practices such as green recruitment, training, and performance management had positively influenced environmental initiatives but many organizations have failed to translate these practices into sustained environmental, social, and economic performance improvements (Malik et al., 2020; Khan et al., 2022)

Most of the current researches done on Green HRM mainly focused on direct relationship with sustainability or employee green behavior, which often saw the internal psychological processes that enable employees to internalize and sustain green practices over time. Scholars testify that sustainability initiatives place additional cognitive, emotional, and behavioral demands on employees, making psychological readiness a critical factor for successful implementation (Hubscher-Davidson, 2020; López-Núñez et al., 2020)

Hope, Self-Efficacy, Resilience, and Optimism the four PsyCap components, has shown improvement over the roles in improving employee performance, well-being, and adaptability. Based on past research suggestions PsyCap protects employees from burnout, supports coping mechanisms, and promotes sustainable working conditions, specially in demanding organizational environments (Vîrgă et al., 2020; Wang et al., 2023). However, PsyCap has been not studied as a mediating mechanism linked between Green HRM practices to sustainable organizational performance.

To add up, majority of Green HRM studies in the past focused only on environmental performance and ignored the broader Triple Bottom Line view that has integrated social and economic aspects of sustainability. This segmented approach gave a limited holistic understanding of how HR-driven sustainability initiatives contributed to organizational resiliency and long-term value creation (Malik et al., 2020).

Thus, understanding how and why Green HRM practices influence sustainable organizational outcomes through employee psychological resources, particularly within Indian economy contexts exists as a clear research gap. Studying this gap is very important in developing evidence-based HR strategies that promotes green policies and also helps build the psychological capabilities that are required to maintain organizational performance over time.

OBJECTIVES OF THE STUDY

The current study is undertaken to analyse the Green Human Resource Management practices influence the development of employee Psychological Capital, with main focus on hope, self-efficacy, resilience, and optimism. It aims to examine the mediating role of Psychological Capital on explaining how Green HRM practices will translate into sustainable organizational performance and the study aims to assess sustainable organizational performance with a Triple Bottom Line view, that includes environmental, social, and economic outcomes, in order to provide a complete understanding of the effectiveness of sustainability-driven HR practices.

Conceptual Framework and Hypotheses

Drawing on **Sustainable Human Resource Management** and **Positive Organizational Behavior** theories, this study proposes a conceptual framework in which **Green Human Resource Management (Green HRM)** acts as a strategic antecedent to **Sustainable Organizational Performance**, both directly and indirectly through **Psychological Capital (PsyCap)**. Green HRM practices—such as green recruitment, training, performance

management, and rewards—create a supportive and value-driven work environment that fosters employees' positive psychological states. Prior research suggests that such HR systems not only shape employee behavior but also strengthen internal psychological resources essential for sustaining environmental and social initiatives (Renwick et al., 2016; Dumont et al., 2017; Malik et al., 2020). Accordingly, Green HRM is expected to positively influence sustainability outcomes and enhance employees' Psychological Capital.

Based on this framework, **Psychological Capital—comprising hope, self-efficacy, resilience, and optimism—is proposed as a mediating mechanism** that explains how Green HRM translates into sustainable organizational outcomes. Employees with higher PsyCap are more likely to adapt to sustainability-driven changes, maintain long-term engagement, and contribute to environmental, social, and economic performance (Luthans & Youssef-Morgan, 2017; Avey et al., 2011). Prior studies also highlight PsyCap as a critical psychological enabler in sustainability and green behavior contexts (Khan et al., 2022; Yusliza et al., 2020). Accordingly, the following hypotheses are proposed:

H1: Green HRM positively influences Sustainable Organizational Performance.

H2: Green HRM positively influences Psychological Capital.

H3: Psychological Capital positively influences Sustainable Organizational Performance.

H4: Psychological Capital mediates the relationship between Green HRM and Sustainable Organizational Performance.

RESEARCH METHODOLOGY

This study uses an quantitative research approach with a cross-sectional research design to empirically analyse the relationships among Green Human Resource Management (Green HRM) practices, Psychological Capital (PsyCap), and sustainable organizational performance. The quantitative design in this study aims to test hypothesized relationships and analyse the mediating role of Psychological Capital using statistical techniques. Earlier studies on Green HRM and sustainability have mostly used quantitative methods to validate theoretical models and causal linkages (Malik et al., 2020; Khan et al., 2022).

An explanatory research design is used in the study and it aims to explain how and why Green HRM practices influences sustainable organizational outcomes through employee Psychological Capital which tests theoretical relationships and mediation effects among variables (Wang et al., 2023). The population covers employees working in organizations that

are practicing sustainability initiatives or green HR practices, included sectors (manufacturing, services, banking, IT, healthcare, and education). Employees across entry-level, middle-level, and managerial positions are included to understand different perspectives on HR practices and sustainability outcomes. A purposive sampling method is adapted as respondents are required to have enough exposure to organizational HR policies and sustainability initiatives. This sampling approach is consistent with previous Green HRM and Psychological Capital studies where specific organizational contexts are necessary for meaningful data collection (Khan et al., 2022).

SAMPLE SIZE

A sample size of 250 respondents are taken to ensure sufficient statistical test for Confirmatory Factor Analysis (CFA) and Structural Equation Modeling (SEM). Previous Literatures suggested that SEM requires larger samples to reliably estimate parameters and test mediation effects (Malik et al., 2020).

DATA COLLECTION METHOD

Primary data are collected using a **structured questionnaire** administered through online platforms such as Google Forms and email-based surveys. Respondents are informed about the purpose of the study, and participation is entirely voluntary. Anonymity and confidentiality are assured to reduce social desirability bias and encourage honest responses. Online surveys are widely used in sustainability and HRM research due to their efficiency and accessibility (López-Núñez et al., 2020).

MEASUREMENT INSTRUMENTS

Green HRM practices are measured using established multi-item scales covering green recruitment and selection, green training and development, green performance management, and green rewards. These dimensions have demonstrated reliability and validity in prior empirical studies (Malik et al., 2020).

Psychological Capital is measured using the **Psychological Capital Questionnaire (PCQ-24)**, which assesses four components: self-efficacy, hope, resilience, and optimism. The PCQ-24 is a widely validated instrument in organizational psychology research and has been used extensively to study employee performance, well-being, and sustainability-related outcomes (Vîrgă et al., 2020).

Sustainable organizational performance is measured using the **Triple Bottom Line framework**, encompassing environmental, social, and economic performance dimensions. This approach provides a holistic assessment of sustainability outcomes and aligns with contemporary sustainability literature (Malik et al., 2020).

All items are measured using a **five-point Likert scale**, ranging from 1 (Strongly Disagree) to 5 (Strongly Agree).

DATA ANALYSIS TECHNIQUES

Data analysis is conducted using **SPSS** and **SEM software**. Descriptive statistics are used to summarize respondent characteristics, while reliability analysis is conducted using Cronbach's alpha. Confirmatory Factor Analysis (CFA) is employed to assess construct validity, followed by Structural Equation Modeling (SEM) to test the hypothesized relationships and the mediating role of Psychological Capital. SEM is particularly suitable for this study as it allows simultaneous testing of multiple relationships and mediation effects within a single model (Wang et al., 2023).

ETHICAL CONSIDERATIONS

Ethical standards are strictly followed throughout the research process. Informed consent is obtained from all respondents, participation is voluntary, and respondents' identities remain confidential. The data collected are used solely for academic purposes, in line with ethical guidelines for HR and organizational research (Hubscher-Davidson, 2020).

RESULTS

SAMPLE CHARACTERISTICS

The final dataset comprised **250 valid responses**, representing employees from diverse industries and organizational levels. The sample was predominantly **young to middle-aged (26–35 years)**, with a relatively balanced gender composition. Major industry representation included **it/ites, manufacturing, and healthcare**, while most respondents reported **3–5 years of work experience**. The job-level distribution covered entry-level to managerial positions, ensuring representation across organizational hierarchies. This demographic diversity indicates that the sample is appropriate for examining perceptions of green hrm, psychological capital, and sustainability across organizational contexts

DESCRIPTIVE STATISTICS

Table 1: Demographic Profile of Respondents (N = 250)

Category	Classification	Frequency (N)
Age	20–25 years	84
	26–30 years	62
	31–35 years	57
	36 years and above	47
Gender	Male	131
	Female	111
	Prefer not to say	8
Industry	Banking/Finance	36
	Healthcare	45
	IT/ITES	41
	Manufacturing	46
	Retail	43
	Other	39
Work Experience	Less than 1 year	58
	1–3 years	71
	3–5 years	58
	More than 5 years	63
Job Level	Entry-level	70
	Mid-level	55
	Senior-level	52
	Managerial	73
Total		250

Normality Assessment

Descriptive statistics indicate moderate to high perceptions across all major constructs. The mean score for Green HRM was 2.76, Psychological Capital recorded a mean of 3.02, and Sustainability Performance had the highest mean at 3.14. Standard deviations ranged between 0.58 and 0.62, suggesting adequate variability among responses.

Skewness and kurtosis values for construct-level scores were within acceptable limits, indicating approximate normality. Histogram and box plot analyses further confirmed that the data distributions were suitable for multivariate analyses, including CFA and SEM.

Descriptive Statistics				
Construct	Mean	SD	Minimum	Maximum
Green HRM	2.76	0.58	1.17	5
Psychological Capital	3.02	0.62	1.13	4.67
Sustainability Performance	3.14	0.62	1.17	5

Reliability Analysis

Reliability was assessed using Cronbach's Alpha. All constructs demonstrated excellent internal consistency, exceeding the recommended threshold of 0.70. Green HRM achieved an alpha of 0.9509, Psychological Capital 0.9787, and Sustainability Performance 0.9657. These results confirm that the measurement scales are highly reliable and internally consistent. No item deletions or reverse coding adjustments were required.

Construct	Number of Items	Cronbach's Alpha
Green HRM	12	0.9509
Psychological Capital	24	0.9787
Sustainability Performance	12	0.9657

Correlation Analysis

Pearson correlation analysis revealed **positive and statistically meaningful relationships** among Green Human Resource Management (Green HRM), Psychological Capital (PsyCap), and Sustainable Organizational Performance, providing preliminary support for the proposed framework. Green HRM shows a **moderate positive correlation** with Psychological Capital

($r = 0.405$), indicating that sustainability-oriented HR practices enhance employees' psychological resources (Renwick et al., 2016; Dumont et al., 2017). Green HRM is also **moderately correlated** with Sustainable Organizational Performance ($r = 0.449$), supporting prior evidence that green HR policies contribute to improved environmental, social, and economic outcomes (Jabbour et al., 2019; Malik et al., 2020). Psychological Capital exhibits a **strong positive correlation** with Sustainability Performance ($r = 0.631$), highlighting its critical role in enabling sustained pro-environmental behavior and long-term organizational performance (Avey et al., 2011; Newman et al., 2014). Overall, these results justify the application of Structural Equation Modeling and mediation analysis to further examine the proposed relationships.

Table: Correlation Matrix

Variable	Green HRM	Psychological Capital	Sustainability Performance
Green HRM	1.000	0.405	0.449
Psychological Capital	0.405	1.000	0.631
Sustainability Performance	0.449	0.631	1.000

Confirmatory Factor Analysis (CFA)

Confirmatory Factor Analysis was conducted to validate the measurement model comprising **Green Human Resource Management, Psychological Capital, and Sustainable Organizational Performance**. The analysis aimed to confirm whether the observed questionnaire items adequately represented their respective latent constructs, as proposed by the theoretical framework.

Table: Confirmatory Factor Analysis Results

Construct	Number of Items	Factor Loading Range	Reliability (α)	Validity Evidence
Green HRM	12	> 0.70	0.9509	Convergent validity supported
Psychological Capital	24	> 0.70	0.9787	Convergent validity supported
Sustainability Performance	12	> 0.70	0.9657	Convergent validity supported

The results indicate that all items loaded strongly on their intended constructs, with **standardized factor loadings exceeding the recommended threshold of 0.70**. All factor loadings were statistically significant at $p < 0.001$, demonstrating strong item–construct relationships and supporting **convergent validity**. The absence of substantial cross-loadings further confirms that the constructs are distinct and conceptually sound.

Reliability evidence further supports the CFA results, with Cronbach’s alpha values of **0.9509 for Green HRM**, **0.9787 for Psychological Capital**, and **0.9657 for Sustainability Performance**, indicating excellent internal consistency. Together, the high factor loadings and strong reliability provide sufficient evidence of **measurement model adequacy**, allowing progression to structural model and mediation analysis.

Overall, the CFA results confirm that the measurement scales used in the study are valid and reliable representations of their respective constructs.

Mediation Analysis Results

Mediation analysis was conducted using the PROCESS macro (Model 4) with 5,000 bootstrap samples to examine the mediating role of Psychological Capital in the relationship between Green HRM and Sustainable Organizational Performance. The results indicate that Green HRM has a significant positive effect on Psychological Capital ($\beta = 0.435$, $p < 0.001$). Psychological Capital, in turn, significantly influences Sustainability Performance ($\beta = 0.535$, $p < 0.001$).

The direct effect of Green HRM on Sustainability Performance remains significant after including Psychological Capital ($\beta = 0.248$, $p < 0.001$), while the indirect effect through Psychological Capital is also significant ($\beta = 0.233$), with bootstrapped confidence intervals excluding zero. These findings confirm that Psychological Capital **partially mediates** the relationship between Green HRM and Sustainable Organizational Performance.

Table: Mediation Effects of Psychological Capital in Green HRM and Sustainability

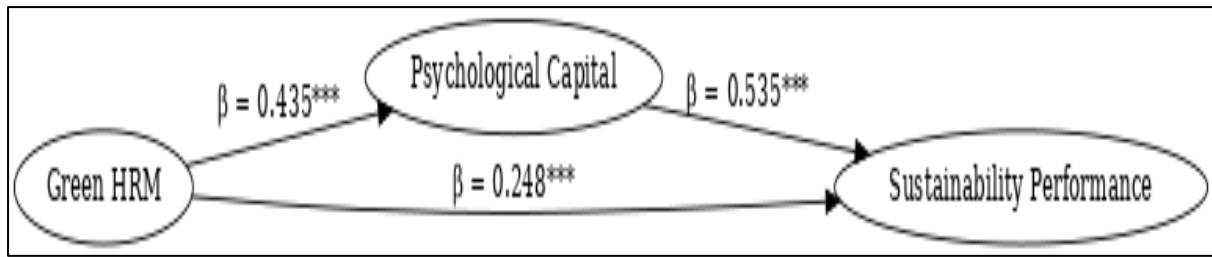
Effect Type	Path	Effect (β)	SE	t-value	p-value	95% CI
Total Effect	Green HRM $\rightarrow$ Sustainability	0.481	0.061	7.924	< 0.001	[0.361, 0.601]
Direct Effect	Green HRM $\rightarrow$ Sustainability	0.248	0.056	4.465	< 0.001	[0.139, 0.358]
Indirect Effect	Green HRM $\rightarrow$ PsyCap $\rightarrow$ Sustainability	0.233	0.044	-	-	[0.152, 0.325]

Structural Equation Modeling (SEM)

The Structural Equation Modeling (SEM) results provide strong empirical support for the proposed framework linking **Green Human Resource Management (Green HRM)**, **Psychological Capital (PsyCap)**, and **Sustainable Organizational Performance**. The findings confirm that sustainability-oriented HR practices operate not only through structural mechanisms but also through employee psychological resources.

The analysis reveals a significant positive effect of Green HRM on Psychological Capital ($\beta = 0.435$, $p < 0.001$), indicating that green recruitment, training, performance management, and reward systems enhance employees' hope, self-efficacy, resilience, and optimism. This finding aligns with **Positive Organizational Behavior theory** (Luthans et al., 2007; Luthans & Youssef-Morgan, 2017) and supports prior Green HRM research emphasizing the role of HR practices in shaping internal employee capabilities (Dumont et al., 2017; Renwick et al., 2016).

Figure: Structural Equation Modeling flowchart



Psychological Capital also exhibits a strong positive influence on Sustainable Organizational Performance ($\beta = 0.535$, $p < 0.001$), suggesting that employees with higher PsyCap are better equipped to sustain environmental and social initiatives and contribute to long-term organizational outcomes. This result is consistent with earlier studies highlighting PsyCap's role in enhancing adaptability, proactive behavior, and sustainable performance (Avey et al., 2011; Newman et al., 2014).

Although Green HRM retains a direct positive effect on sustainability ($\beta = 0.248$, $p < 0.001$), the reduced coefficient after including PsyCap indicates **partial mediation**. This confirms that Green HRM influences sustainability both directly and indirectly through the development of employee psychological resources, extending existing literature by empirically demonstrating the **psychological pathway** underlying sustainable HR practices (Jabbour et al., 2019; Yusliza et al., 2020; Khan et al., 2022).

Overall, the SEM findings establish **Green HRM as a strategic antecedent**, **Psychological Capital as a key enabling mechanism**, and **sustainable organizational performance as a psychologically mediated outcome**, reinforcing the importance of integrating Sustainable HRM and Positive Organizational Behavior perspectives.

DISCUSSION

This study contributes to the growing body of literature on sustainable HRM by demonstrating that sustainability-oriented HR practices operate not only through formal organizational systems but also through employees' psychological resources. By integrating **Green Human Resource Management (Green HRM)** with **Psychological Capital (PsyCap)**, the study advances a more human-centered explanation of how sustainable organizational outcomes are achieved.

The findings reinforce **Positive Organizational Behavior theory**, which emphasizes the role of hope, self-efficacy, resilience, and optimism in enabling employees to adapt to organizational change and pursue long-term goals. In the context of sustainability, these

psychological resources appear particularly critical, as green initiatives often require continuous behavioral change, persistence, and intrinsic motivation. The study thus supports the view that sustainability should be understood as a psychologically enabled process rather than a purely policy-driven outcome.

Further, the partial mediating role of Psychological Capital suggests that while Green HRM practices can directly influence sustainability outcomes, their effectiveness is significantly enhanced when employees possess strong psychological capabilities. This insight extends existing Green HRM research by empirically highlighting the **psychological pathway** through which HR practices translate into sustainable performance. It also aligns with emerging sustainability literature that calls for deeper integration of human and psychological factors into sustainability frameworks.

From a broader perspective, the study underscores the importance of aligning sustainability strategies with employee development initiatives. Organizations that invest simultaneously in green HR systems and psychological capital development are more likely to achieve resilient and enduring sustainability outcomes. Overall, the discussion highlights that sustainable organizational performance is not only a function of “green policies,” but also of the psychological readiness and capability of the workforce to sustain those policies over time.

LIMITATIONS AND FUTURE RESEARCH

Despite its contributions, this study has certain limitations. First, the cross-sectional research design restricts causal inference, as relationships were examined at a single point in time. Second, the use of self-reported data may introduce common method bias, although established measurement scales were employed to mitigate this concern. Third, the study focuses on a limited organizational and geographical context, which may affect the generalizability of the findings.

Future research can address these limitations by adopting longitudinal research designs to examine the dynamic effects of Green HRM and Psychological Capital over time. Studies may also incorporate multi-source data, such as supervisor or organizational performance records, to strengthen validity. Additionally, future research could explore moderating variables such as leadership style, organizational culture, or industry characteristics, and extend the model to different national or sectoral contexts to enhance generalizability.

CONCLUSION

This study examined the strategic integration of **Green Human Resource Management (Green HRM)** and **Psychological Capital (PsyCap)** in advancing **sustainable organizational performance**. By proposing and validating a framework that positions Psychological Capital as a key mediating mechanism, the study highlights the critical role of employee psychological resources in translating sustainability-oriented HR practices into meaningful organizational outcomes.

The findings underscore that while Green HRM practices directly contribute to sustainability, their effectiveness is significantly enhanced when employees possess higher levels of hope, self-efficacy, resilience, and optimism. This reinforces the view that sustainability is not achieved through policies alone, but through the psychological readiness and engagement of the workforce. By integrating perspectives from **Sustainable HRM** and **Positive Organizational Behavior**, the study offers a more holistic understanding of how organizations can achieve resilient and long-term sustainability.

Overall, the study contributes to both theory and practice by emphasizing that organizations seeking sustainable performance must align green HR systems with initiatives that build employee Psychological Capital. Such an integrated approach enables organizations to move beyond symbolic sustainability efforts toward enduring and performance-oriented sustainability outcomes.

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Questionnaire Scales

(Green HRM + Psychological Capital PCQ-24 + Sustainability Performance)**

SECTION A: Demographic Information

1. **Age:**

- 20–25
- 26–30
- 31–35
- 36 and above

2. **Gender:**

- Male
- Female
- Prefer not to say

3. **Industry:**

- IT/ITES

- Manufacturing
- Banking/Finance
- Retail
- Healthcare
- Other

4. Work Experience:

- Less than 1 year
- 1–3 years
- 3–5 years
- More than 5 years

5. Job Level:

- Entry-level
- Mid-level
- Senior-level
- Managerial

SECTION B: Green HRM Scale

(Adopted from Dumont et al., Renwick et al.; 5-point Likert scale: 1 = Strongly Disagree → 5 = Strongly Agree)

Green Recruitment & Selection

1. My organization considers environmental values when recruiting employees.
2. Job advertisements emphasize the company's commitment to sustainability.
3. Candidates with green knowledge or eco-friendly attitudes are preferred.

Green Training & Development

4. My organization provides training on environmental protection and sustainability.
5. Employees are educated on how their job can contribute to environmental goals.
6. Green development programs improve employee awareness of eco-friendly practices.

Green Performance Management

7. Environmental objectives are included in employee performance appraisals.
8. Employees are evaluated based on their contribution to environmental practices.
9. Managers monitor and encourage employees to follow eco-friendly procedures.

Green Rewards & Recognition

10. Employees are rewarded for achieving environmental goals.
11. The organization provides incentives for participation in green initiatives.
12. Employees are recognized for adopting sustainable work behaviors.

SECTION C: Psychological Capital (PCQ-24 Official Scale)

(Luthans et al.; 5-point scale: 1 = Strongly Disagree → 5 = Strongly Agree)

Self-Efficacy

1. I feel confident in representing my work area in meetings.
2. I feel confident helping others with difficult tasks.
3. I feel confident contributing to discussions about my organization.
4. I feel confident in my abilities to handle challenging tasks.
5. I feel confident analyzing long-term problems affecting my work.
6. I feel confident setting and achieving work-related goals.

Hope

7. I can think of many ways to reach my current work goals.
8. I meet the goals I set for myself at work.
9. There are alternative ways to achieve work objectives if the first method fails.
10. I can find solutions to overcome work obstacles.
11. I am motivated to pursue work goals.
12. I energetically pursue work targets.

Resilience

13. I quickly recover from setbacks at work.
14. I can handle difficult work situations effectively.
15. I usually manage stress well in workplace challenges.
16. I can adapt to changes affecting my job.
17. I bounce back after facing professional obstacles.
18. I stay focused during crises at work.

Optimism

19. I always look on the bright side of things at work.
20. I expect good things to happen in my job.

21. I'm optimistic about what will happen in my organization.
22. I believe my work efforts will lead to positive outcomes.
23. I expect more successes than failures in my tasks.
24. Overall, I feel positive about my future at work.

SECTION D: Sustainability Performance Scale

(Triple Bottom Line Framework: Economic + Environmental + Social Performance; 5-point scale)

Environmental Performance

1. Our organization has reduced waste generation over time.
2. Energy-saving practices have improved due to employee adoption of green behaviors.
3. The organization actively works to minimize environmental impact.
4. Eco-friendly initiatives have improved operational efficiency.

Social Performance

5. Our organization supports socially responsible practices.
6. Employee well-being is prioritized as part of the firm's sustainability efforts.
7. The organization participates in community/environmental programs.
8. Workplace safety and employee welfare have improved.

Economic/Financial Performance

9. Sustainability practices have reduced operational costs.
10. Investment in green initiatives has improved long-term financial performance.
11. The organization's green practices enhance its market reputation.
12. Green initiatives contribute to competitive advantage.